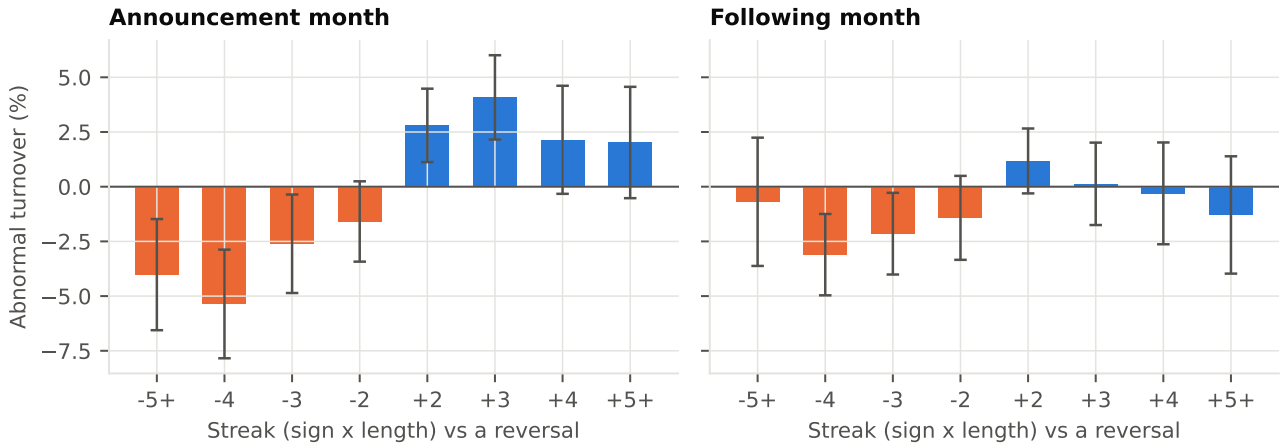
Idea 2 PoC — Do earnings streaks create disagreement?

Proof of concept, October 2026. Code: `idea02_streak_disagreement/run.py`.

Question and design

Suppose some investors expect a streak of earnings surprises to end (gambler's fallacy) while others expect it to continue (hot hand). Then a surprise that extends a streak should split opinions and raise trading, and Rabin and Vayanos (2010) imply the split depends on streak length. We test this with two disagreement measures that do not use prices. The first is *abnormal turnover*: log monthly turnover minus the firm's average over the previous year, in the announcement month and the month after. The second is the change in *analyst disagreement*: the I/B/E/S forecast standard deviation and high–low range, from the start of the announcement month to the start of the next, scaled by price. We regress these on dummies for each signed streak length (up or down, length 2, 3, 4, 5+). Reversals, where the surprise breaks the previous sign, are the baseline. Controls are $|SUE|$, $|SUE|^2$, the sign of the surprise, size and momentum. All regressions have month fixed effects, with SEs clustered by month. The sample has 97,150 announcements, 2005–2020, with SRW surprises and streaks as in the gambler's-fallacy paper.



	Up-streak of length				Down-streak of length			
	2	3	4	5+	2	3	4	5+
Abnormal turnover, announcement month (%)	2.8	4.1	2.1	2.0	−1.6	−2.6	−5.4	−4.0
	(3.3)	(4.2)	(1.7)	(1.6)	(−1.7)	(−2.3)	(−4.2)	(−3.1)
Analyst range, change (bp of price)	0.9	3.2	2.3	2.0	0.3	−1.0	−4.9	−5.5
	(1.0)	(2.7)	(1.9)	(1.9)	(0.3)	(−0.5)	(−1.8)	(−2.3)

Differences relative to a reversal of the same sign (t-statistics). The analyst SD shows no significant pattern. Drift test: the streak drift is not stronger in high-turnover announcements (SUE × continuation × high turnover = 0.13, $t = 0.95$).

Findings

- **Streaks change trading, but the effect depends on the sign.** Good-news streaks raise turnover, most at length 3 (+4.1%), and analyst forecasts spread out (+3.2 bp). Bad-news streaks lower turnover, more the longer they get (−5.4% at length 4), and analyst forecasts converge (−5.5 bp at 5+).
- **This is only partly the predicted disagreement.** Rising disagreement fits good-news streaks, but a long bad-news streak *reduces* disagreement and trading. A plausible alternative is the disposition effect: holders of stocks with good-news streaks sit on gains and sell into the news, while holders of stocks with bad-news streaks sit on losses and hold. Momentum is controlled for, but capital-gains overhang is not.
- **Disagreement does not explain the price drift.** The streak drift is no stronger in high-turnover announcements.

Assessment and next steps

A robust new fact (volume is asymmetric in streak sign and length), but the disagreement interpretation is not established. To make it a paper: (i) add the capital-gains overhang from Idea 10 as a control or competing explanation; (ii) use daily volume and order-imbalance data to separate buying from selling; (iii) use analyst-level detail data to measure true dispersion. As it stands, the evidence is better suited to a mechanism section of the gambler's-fallacy paper than to a standalone Q1 paper.